Parametric cover offer for next season

Reference	**LP-COV-L047-W33**	Date	**2026-11-07 (data as of 2023-01-18, week 33)**
To	**Granja San Pedro S.A. (borrower)**	From	**Credit Risk, Banco Demo (fictional)**
Borrower	**Granja San Pedro S.A. (F045)**	Loan	**L047 · Crop input loan · $180,000**

Offer of parametric drought cover on maize for the next season, sum insured $180,000, indicative premium $14,261 (7.9% of the sum insured).

1. Proposed cover

Index	**SPI-60 (60-day standardised precipitation index) at the field**	Window	**Silking, Grain fill: weeks 11 to 19 after sowing**
Strike (payout starts)	**SPI-60 below -1.5**	Exit (full payout)	**SPI-60 at or below -2.5; linear in between**
Sum insured	**$180,000 (= loan amount)**	Payout routed to	**loan L047 (assigned to the bank)**
Existing cover	**parametric for drought, $185,000**	Region / crop	**Buenos Aires · Norte / maize**

Trigger in words: SPI-60 < -1.5 between silking and grain fill for maize in Buenos Aires · Norte. In 2022/23 the 5 monitored maize fields in this region had a median window minimum SPI-60 of -1.90 (worst -3.09).

2. What it would have paid

Season	Field yield vs trend	Payout on a $180,000 cover
2022/23 (this season, to date)	-34% expected	**$180,000 (measured: lowest SPI-60 in window -3.09)**
2008/09	-25%	$92,841
2017/18	-22%	$65,177
2011/12	-21%	$49,628
2021/22	-18%	$22,720
2001/02	-4%	-
2002/03	+12%	-
2003/04	-5%	-
2004/05	+7%	-

Seasons 2001/02 to 2021/22: 4 of 21 would have paid (the 8 largest are listed); average yearly payout (burn rate) $10,970 = 6.1% of the sum insured. Method note: the SPI record of past seasons is not stored in the analysis, so a past season counts as triggered when the field's yield fell more than 15% below its trend (full payout at -35%), a proxy for the SPI trigger; 2022/23 uses the measured SPI-60.

3. Premium indication

Item	USD	% of sum insured
Expected payout (21 history seasons)	$10,970	6.09%
Loading	x 1.3	
Indicative premium	$14,261	7.92%
Memo: burn rate including 2022/23	$18,653	10.36%

Indicative only: an insurer prices with its own models and reinsurance cost. The premium is not committed until a policy is issued; the offer would be financed within the next loan.

4. Acceptance

Borrower	Bank officer	Insurer
Name / date:	Name / date:	Name / date: